

met a man with a similar vision: Connor O'Brien. Together we formed O'Leary Funds, which is a family of financial products now worth more than \$1 billion. Our philosophy is "Get Paid While You Wait," which is exactly what my mother did. Except for gold, O'Leary Funds deals only in dividend-paying stocks and interest-bearing bonds. As a result, we have tremendous focus. If it doesn't pay, we don't play.

At some point, I have to believe my mother would have asked herself these questions:

- Who is paying you to wait?
- What is this company giving you in exchange for holding on to your money?

They have to give you something. It's that simple. That's where you start when you think about investing: Ask yourself what's in it for you to give that company your money.

Let me put it this way: When you invest in a stock that doesn't pay a dividend, you're effectively saying to the CEO of that company or its board of directors, "Here. Here's my money. You keep *my portion* of those profits that my money's helping you generate and you redeploy it because you know what's best for this company. Buy a new plant, retire debt, expand into a different country, or create a new product—you decide." That's what investors must have thought to themselves when they bought popular stocks such as Dell or Yahoo.

As you can see, these non-dividend-paying stocks did not perform well. Worse, you'll never really know what went wrong with that company, so you're never going to find out exactly what happened to your money.

Here's what I believe, and why investing in companies that pay dividends is the best option. The culture of companies mandated to pay you a dividend is different from that of those whose mandate it is to simply grow market share and create profit. I believe a CEO of a company that's paying me a dividend wakes up every morning and says, "Today I have to make sure my expenses are in line and my profits and cash flow are adequate to pay Mr. O'Leary his dividend."